

****Memorandum from the President of the Guarantor for the Protection of Personal Data, Prof. Pasquale Stanzione****

****Annual Bill for the Market and Competition 2021****

****Senate of the Republic - 10th Commission for Social Affairs, Health, Public and Private Employment, Social Security****

****(February 16, 2022)****

The bill in question contains several provisions that are particularly relevant from the perspective of personal data protection. Below, the main points will be described, along with some possible modifications or additions aimed at ensuring more effective protection of the right to personal data protection in the considered cases.

First and foremost, Article 2 is noteworthy as it includes, among other things, the delegation to the Government for mapping and transparency of the concession regimes for public goods, to be achieved through the establishment and coordination of an information system for the detection (and electronic transmission) of public goods concessions in order to promote maximum publicity and transparency, even in a synthetic form, of the main data and information relating to all concession relationships, taking into account the needs for defense and security of the data themselves. Among the guiding criteria for the exercise of the delegation, particular importance is given to the provision (under letter g) of "adequate forms of data transparency" relating to the concession, to be realized, including in electronic mode, in compliance with the regulations on personal data protection.

In order to best reconcile the needs for transparency and the right to personal data protection, it is appropriate that the draft legislative decree be subject to the opinion of the Guarantor, pursuant to Article 36, paragraph 4, of Regulation (EU) 2016/679 (hereinafter: Regulation). The consultation of the Authority on this point seems particularly appropriate due to the quantitative and qualitative significance of the information system to be established and the information subject to the forms of transparency that will be identified during the exercise of the legislative delegation.

Moreover, Articles 13 to 18 of the bill are of interest, containing provisions in the health sector, particularly regarding the accreditation, distribution, and reimbursement of equivalent drugs, the revision of the production system for medicines and plasma-derived products from Italian plasma, and the selection of health management. Among these, Article 13 is particularly noteworthy as it intervenes on the revision and transparency of the accreditation and contracting methods of private structures provided for by Articles 8 et seq. of Legislative Decree No. 502 of 1992, imposing on public and private entities, companies, and structures that provide services on behalf of the National Health Service (SSN) the obligation to publish on their website, in addition to financial statements, data on the qualitative and quantitative aspects related to the services provided and the medical activities carried out by public and private structures. It may be useful to prescribe, in this regard, the aggregated form of the data to be published, so as to avoid the identifiability, even if indirect and through inferences based on the data on the services offered, of the interested parties.

Article 18, furthermore, in amending paragraph 7-bis of Article 15 of Legislative Decree No. 502 of 1992, refers the regulation of "the criteria and procedures for the assignment of complex structure management positions" to regional legislation, confirming the existing obligation - to be fulfilled prior to the appointment - of publicity on the health authority's website of "[t]he professional profile of the manager to be appointed, the curricula of the candidates, the criteria for scoring, the ranking of candidates, the report of the commission." Given the significance of such publicity obligations, it would be appropriate to integrate the provision with reference to the maximum publication times for the personal data of non-selected subjects, equal, for example, to those useful for challenging the final ranking, as well as the obligation to adopt techniques to prevent the indexing of personal data in general search engines.

Among the provisions concerning digital infrastructures and electronic communication services (Articles 19 to 22), Article 21 is particularly significant as it aims to combat the phenomenon of unaware and fraudulent activation of telephony and electronic communication services. It prohibits

service providers from activating subscription services by the operators themselves or by third parties, including services for the provision of digital content provided both via SMS and MMS, as well as through data connection, with charges on telephone credit or billing documents, in the absence of the express and documented consent of the consumer or user. The provision - aimed at enhancing the intermediary role of the telephone operator by prohibiting it from activating services for which there is no express and documented consent - addresses a phenomenon of particular invasiveness, which can cause significant harm from a financial perspective. However, the amendment, while maintaining substantial continuity with the existing norm, may not be entirely sufficient to counteract evasive conduct. The telephone operator is only required to verify the existence of "express and documented" consent, without regulating the specific methods of documenting the expression of will (the regulation of which, for Value-Added Services, is still delegated to the Authority for the...

guarantees in communications from Article 1, paragraph 4, of Decree-Law No. 7 of 2007, converted with amendments by Law No. 40 of 2007). Article 24 also delegates authority to the Government for the simplification of controls on economic activities, providing, among the principles and directive criteria, for access to data and the exchange of information by entities performing control functions, also through the interoperability of databases (letter g) and, finally, the prohibition for public administrations, in the context of controls on economic activities, from requesting the production of documents and information already in their possession (letter l). It would be appropriate to integrate the principles and directive criteria for the exercise of the legislative delegation with reference to the need for access to data and the exchange of information, by entities performing control functions for the purposes of coordinating and programming controls, to occur in compliance with personal data protection regulations.

Moreover, in this case, it would also be desirable to obtain the opinion of the Guarantor on the draft legislative decree in order to ensure that the interoperability of databases and access to information is regulated in a way that guarantees the right to personal data protection of the interested parties.

Regarding the delegation for the adaptation of national legislation to the provisions of Regulation (EU) 2019/1020, Article 26 also provides for the strengthening of the digitization of control, supervision, and data collection procedures, also in order to promote the application of artificial intelligence systems for tracking illicit products and for risk analysis. On this point, it would be appropriate to integrate the directive criterion by prescribing that the digitization of procedures occurs in compliance with personal data protection regulations, in order to more correctly guide the exercise of the delegation.

A specific consideration is warranted for Article 32, concerning the reform of the regulation of the selection procedures for members of independent Authorities, aimed at expressly strengthening their transparency and impartiality as provided for in paragraph 1. The norm, in particular, delegates to the appointing authorities (in the case of the Guarantor, for example, the Chambers) the establishment of a technical Commission, composed - in compliance with the principle of gender equality - of five members, possessing "undisputed independence, morality, and high professional qualifications in their respective areas of expertise." A specific safeguard clause (in the last sentence of paragraph 1) reiterates the autonomy of the Chambers - and their respective Presidents - for the regulation of the appointment procedures within their competence.

The establishment of the commission must occur within the prompt timeframe referred to in paragraph 3, last sentence (to be coordinated, in the case of the Guarantor, with that referred to in Article 153, paragraph 1, third sentence, Legislative Decree No. 196 of 2003), or "well in advance" of the need to define the appointment procedure at least three months before the expiration of the mandate of the bodies to be replaced. It is then provided that the Commission receives the list of candidates drawn up "also based on the expressions of availability received, following a public notice, from the entities competent to appoint the presidents and members of the authorities." This provision, in particular, appears to be difficult to interpret, as it is unclear whether the possibility of including candidates in the list who have not previously expressed their availability falls to the appointing authority or to the technical commission. The former solution would certainly be preferable, to avoid a substantial evasion of the distribution of responsibilities between the technical commission and the body holding the

appointment power, to which only, indeed, this faculty is ascribed and therefore, also, the possibility of identifying potential candidates outside the "ordinary" path, based on prior expressions of availability.

In the case of the Guarantor, then, the possibility of identifying candidates not included among those who have expressed their availability seems incompatible with the regulation referred to in Article 153, paragraph 1, second sentence, Legislative Decree No. 196 of 2003 and subsequent amendments, which imposes the prior candidacy of eligible subjects.

The technical commission is then responsible for verifying the existence, in candidates, of the requirements prescribed by law and for preparing - in compliance with the principle of gender equality - a list of at least four candidates for each member to be appointed, to be proposed to the entity holding the elective power. The activity assigned to the commission thus seems to combine components of mere external verification of the existence of the requirements prescribed by law, in the absence of margins for autonomous consideration, with others expressing a evaluative judgment regarding the specific qualities of each candidate, functional to the selection of eligible subjects to be proposed to the bodies holding the appointment power. In this sense, the provision of the technical commission's power to conduct hearings of candidates, evidently aimed at assessing their qualities, supports this interpretation.

For the selection of candidates in the "pool" of eligible subjects to be proposed to the body holding the appointment power, no particular motivational burden is provided for the technical commission, which would, however, be desirable to introduce in order to strengthen the guarantees of transparency of the procedure and reduce the margin of discretion in the commission's evaluation.

The fulfillment of this motivational burden would, in fact, contribute to reducing the risk – which is somewhat inevitable concerning the technical phase of the appointment process – of litigation regarding the choices of the commission. It is precisely this aspect that likely deserves further reflection. On one hand, the procedure for resolving disputes that may arise when, within an appointment process characterized by essentially political discretion and therefore by acts of a political nature (or, at most, of high administration), a phase marked by technical discretion is introduced must be regulated. It should be recalled that for the Constitutional Court, "the assertion of (...) the existence of spaces reserved for political choice is shareable and supported by elements of positive law. Nonetheless, the spaces of political discretion find their boundaries in the principles of a legal nature established by the legal system, both at the constitutional and legislative levels; and when the legislator predetermines standards of legality, politics must adhere to them, in compliance with the fundamental principles of the rule of law. To the extent that the scope of discretionary power, even that very broad which characterizes a government action, is constrained by limits set by legal norms that mark its boundaries or direct its exercise, compliance with such limits constitutes a requirement of legitimacy and validity of the act, subject to review in the appropriate venues" (Constitutional Court, judgment 2-5 April 2012, no. 81).

On the other hand, the legitimate body for resolving the disputes in question should be identified, considering that they refer to a technical activity embedded within a procedure entrusted, as in the case of the Guarantor, to the Chambers. This entails the need to clarify the attribution of such disputes (at least for the part concerning the exclusion of candidates from the "list" of eligible subjects proposed to the body holding the power of appointment) to external jurisdiction, as the prerequisites for attributing them to the internal jurisdiction of the Chambers do not seem to exist (also in light of judgment 120/2014 of the Constitutional Court). Naturally, the establishment of a contentious phase in the appointment process risks significantly extending its duration if the process is suspended pending a decision. On the other hand, the continuation of the procedure while a judgment is pending, if it avoids temporal extension, risks, however, inducing a significant delegitimization of the elected subject following a contested decision and, overall, a situation of general uncertainty that is certainly not desirable.

Therefore, while maintaining the aforementioned aspects, it should be considered overall that the proposed reform constitutes the development of a process, already underway, of progressive extension of the guarantees of transparency in the appointment procedures of the members of the

Authorities. The legislative decree 101 of 2018 (insofar as it amended Article 153 of Legislative Decree 196 of 2003, regulating the election procedure of the members of the Guarantor) is certainly an expression of this process. It has, in fact, profoundly innovated the regulation of the election of the members of the Guarantor's College, limiting the pool of eligible subjects, by the Chambers, to only those candidates who have previously expressed their availability, providing, among other things, a curriculum to be published on the institutional website of the two Houses of Parliament.

In relation to the current regulation in this regard, the proposed one shifts the verification of the existence of the subjective requirements and the same initial assessment of merit from the political assembly body to the technical commission. This contributes to ensuring a more accurate and well-founded assessment regarding the subjective qualities of the candidates and a greater reviewability (also for judicial purposes) of (part of) the decision-making process. However, it is evident that the need for transparency in the appointment procedure, competence, and independence in the choice of eligible subjects retroacts, in this way, on the constitution of the technical commission. Its members should, in fact, be selected through an equally transparent procedure and based on criteria of actual competence to make the entire appointment procedure more meritocratic, given the significant role assigned to the commission, tasked with selecting, among the various candidates, the pool of only eligible subjects.

This significant "delegation" from the political body to the technical commission of an important segment of the appointment procedure is, moreover, compatible with the supranational regulation in the case of the Guarantor, to the extent that Article 53, paragraph 1, of Regulation (EU) 2016/679 includes, among the bodies to which each Member State can entrust the elective power of the members of the data protection authorities, also independent bodies legally tasked with the appointment. On the other hand, the provision of the gender equality criterion as a constraint for the selection of both the members of the technical commission and the eligible subjects selected from the pool proposed to the political body is certainly commendable. As is, moreover, the proposed timeline for the appointment procedure, which will, as anticipated, require coordination with the regulation referred to in Article 153, paragraph 1, Legislative Decree 196.

Naturally, the proposed regulation uniformly for all Authorities should not diminish the guarantees already individually provided for each of them. In this sense, for example, the guarantee of limited voting provided for in Article 153, paragraph 1, Legislative Decree 196 of 2003 should also be preserved after the reform has taken place.

involves minorities again in the choice of an organ, such as the leadership of an independent Authority, which, by its very nature, cannot respond even at the stage of its establishment to majority logic. An Authority aimed at the protection of a fundamental right such as the right to personal data protection must, in fact, necessarily be removed from the 'domain of the majority' and from the same trust circuit on which governmental action is based.